
MOST RESTAURANT OWNERS CALCULATE FOOD COST WRONG. THEY SKIP ONE STEP.

**SWIPE FOR THE FORMULA THAT SHOWS YOUR REAL
MARGIN**

FOOD COST IS NOT PURCHASES ÷ SALES.

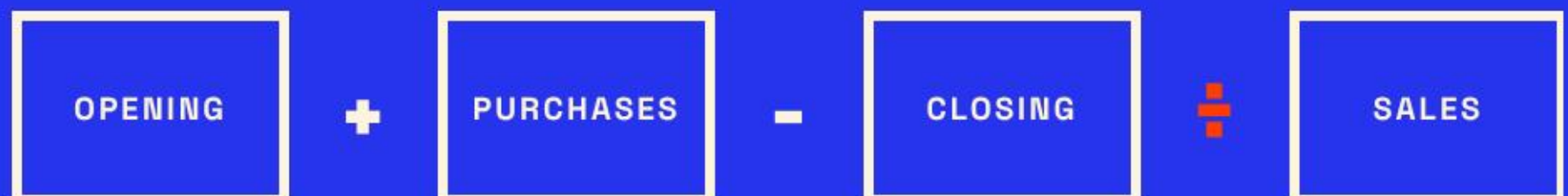
What you bought is not what you used. Opening and closing stock decide the real number.



01 

COUNT STOCK, THEN USE THE FORMULA

Food cost % = (opening stock + purchases – closing stock) ÷ food sales × 100.



02

**EXAMPLE: RS 3.4 LAKH USED ÷
RS 10 LAKH SALES = 34%**

Example numbers only. Opening Rs 80,000 + purchases Rs 3,20,000 – closing Rs 60,000 = Rs 3,40,000 used.

SALES: RS 10 LAKH



03 

COST EVERY DISH, NOT JUST THE MONTH

Plate cost = quantity used × price per unit, added up for every ingredient in one portion.

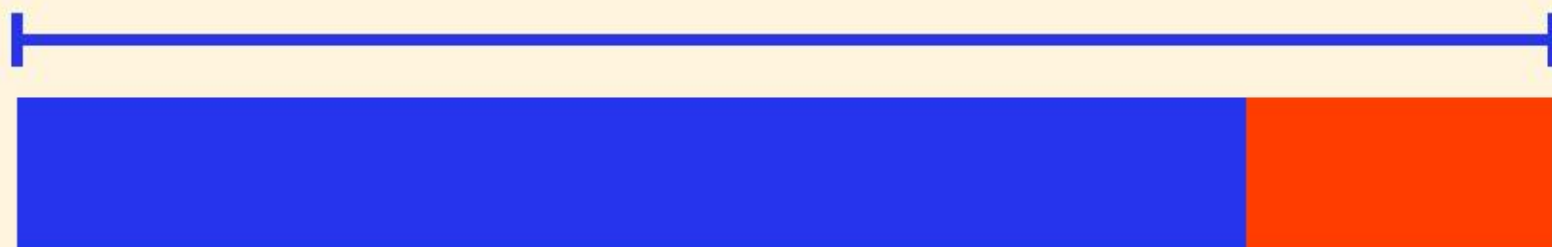


04



COST THE USABLE PART, NOT THE PURCHASE

Buy at Rs 100/kg with 80% usable, and your real cost is Rs 125/kg ($100 \div 0.8$).



80% USABLE

20% WASTE

05

SET THE PRICE FROM YOUR TARGET

Price = plate cost ÷ target food cost %. A Rs 67.60 plate at a 30% target sells at about Rs 225.

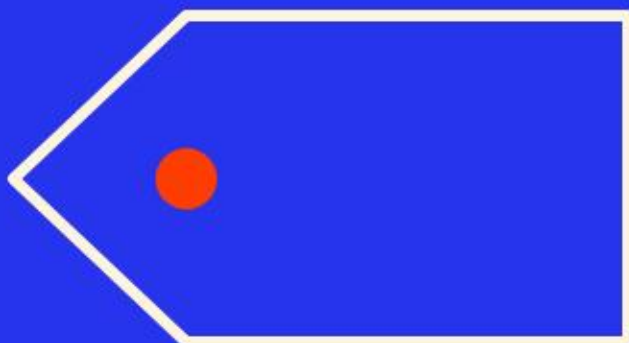


PLATE COST

TARGET FOOD COST %

RE-COST WHEN PRICES MOVE. CHECK:



SUPPLIER RATES CHANGED THIS WEEK?



PORTION SIZES STILL THE SAME?



WASTE LOGGED EVERY DAY?

**MANY RESTAURANTS AIM
FOR**

28-35%

A rule of thumb. It varies by cuisine and format.

COMPARE SUPPLIER RATES BEFORE YOU COST THE MENU.

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